

A Descriptive-Correlational Analysis of Social Media Usage and Personal Finance Competencies Among University Students

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Abstract

Social media plays a major role in the lives of young adults, yet there is a lack of understanding about how it influences financial competencies among university students in the Philippines. This study employed a descriptive correlational design to determine the relationship between social media usage and personal finance competencies among students at Bukidnon State University Talisayan Campus. Key findings indicate that social media usage is high, with Facebook and TikTok being the most popular platforms. Financial literacy was found to be moderate, suggesting that students grasp financial concepts but struggle to apply them. The study also demonstrated a moderate positive correlation between social media use and financial literacy, as well as decision-making skills. The researchers recommend that universities incorporate practical financial education into their curricula, utilize social media for financial literacy campaigns, and offer tools to help students effectively manage their finances.

Keywords: social media, financial literacy, decision-making, personal finance, university students, financial education.

Social media usage has become deeply embedded in the daily routines of young adults across the globe, with platforms like Facebook and TikTok serving as significant sources of information that profoundly influence user behavior and perceptions (Tus, 2021). This global phenomenon presents a dual challenge: while digital platforms have been affirmed to effectively foster financial literacy by providing accessible content (Subburayan et al., 2023), they simultaneously introduce behavioral risks through constant consumer exposure. For university students, acquiring personal finance competencies—the ability to budget, manage debt, and make sound financial decisions—is crucial as they navigate their approach toward financial independence. Locally, in the Philippines, this digital influence is pronounced; social media has been shown to impact financial competencies among Filipino students (Sarmiento et al., 2025), and the Bangko Sentral ng Pilipinas (BSP) highlights that effective financial inclusion requires not just access to, but also competence in, utilizing financial services (Bangko Sentral ng Pilipinas, 2022). Despite this strong domestic evidence, a specific research gap remains regarding the nature of this influence within the localized environment of a state

university in Mindanao. The purpose of this study was to address this gap by determining the descriptive-correlational relationship between the extent of social media usage and personal finance competencies (specifically financial literacy and decision-making abilities) among students at Bukidnon State University - Talisayan Campus. The study aims to inform strategic efforts to promote practical financial literacy within the university setting.

A quantitative descriptive-correlational study was employed. This design was chosen as it allowed the researchers to describe the current state of variables (social media usage and financial competencies).

The target population for this study was Bachelor of Science in Business Administration (BSBA) students across all three-year levels at the Bukidnon State University – Talisayan Campus. To ensure the sample was representative of the program's composition, a stratified random sampling method was utilized. The final sample size consisted of 173 participants selected from a total population of 305 students.

The research utilized a structured questionnaire consisting of three main parts, primarily employing a Likert scale for

measuring attitudes and behaviors. The instrument gathered (a) demographic information (age, sex, and year level); (b) the level of Social Media Usage, assessing the preferred platforms (e.g., Facebook, TikTok) and frequency of use; and (c) Personal Finance Competencies, measured in two dimensions: Financial Literacy (conceptual knowledge) and Financial Decision-Making Abilities (practical application).

Following the procurement of official administrative approval from the university campus, the pre-validated survey instruments were distributed directly to the selected students over a two-week period. This hands-on approach facilitated a high response rate and allowed researchers to clarify any questions, ensuring data integrity.

The collected data were subjected to both descriptive and inferential statistics. Descriptive statistics, including frequencies, percentages, and weighted means, were used to summarize the participant profiles and the extent of the study variables. To test the correlational relationship, the Pearson

product-moment correlation coefficient (r) was computed to determine the strength and direction of the linear relationship between the frequency of social media usage and the financial competency variables. A two-tailed significance test (p) was used to interpret the findings.

Participants reported high engagement with social media, with Facebook and TikTok identified as the most preferred platforms. Usage was frequent and habitual, often checked daily upon waking and before sleep. Regarding financial competencies, the respondents reported an overall “High Financial Literacy,” indicating confidence in understanding basic concepts like saving and budgeting. However, they reported lower scores in the practical application of this knowledge, specifically in the areas of creating and sticking to a budget and saving regularly. Participants’ Decision-Making Abilities were rated as “Moderate,” with confidence expressed in managing debt, but notable difficulties were reported in resisting impulse purchases.

Table 2

Correlation between the Extent of Social Media Usage and Personal Finance Competencies

Extent of Social Media Usage	Personal Finance Competencies	Pearson Correlation	Sig. (2-tailed)	Significance Description	Decision Ho
Frequency of Use	Financial Literacy	.359	<.001	Significant	Rejected
	Decision Making-Abilities	.361	<.001	Significant	Rejected

A moderate positive and statistically significant relationship was found between the frequency of social media usage and both dimensions of personal finance competencies. This led to the rejection of the null hypothesis. The results show that increased frequency of social media use is associated with higher levels of self-reported financial literacy ($r=.359$, $p<.001$) and decision-making abilities ($r=.361$, $p<.001$).

The statistically significant moderate positive correlation between social media usage and financial competencies confirms that these digital platforms are currently associated with greater financial awareness among the student cohort. This result is consistent with the literature (Sarmiento et al., 2025; Subburayan et al., 2023) recognizing the role of accessible digital platforms in disseminating information, effectively democratizing financial education. Furthermore, the findings align

with the national financial inclusion goals which emphasize the need for Filipinos to be financially capable (BSP, 2022). This local context is further supported by studies on other regional campuses, such as the findings regarding college students' adoption and utilization of digital financial tools in Calapan City (Silva et al., 2024).

However, the moderate strength of the correlation, combined with the descriptive findings, reveals a critical knowledge-to-action gap. Despite reporting "High Financial Literacy," the students struggled significantly with behavioral components like budget adherence and regular saving. This disparity between knowing and doing is highlighted by the reported difficulty in resisting impulse purchases. This behavioral vulnerability is likely exacerbated by the commercial nature of their preferred platforms (Facebook and TikTok), where targeted advertising and

social commerce are known to increase consumer inspiration and subsequently trigger impulse buying (Yang et al., 2024), acting as a powerful counterforce to informed financial decision-making. The increasing trend of social commerce and personalized promotion through platforms necessitates that students be equipped with stronger emotional and cognitive controls to safeguard their financial well-being (Goel & Sharma, 2025).

The implication is that while social media successfully delivers conceptual knowledge (contributing to the positive correlation), the platforms' pervasive consumer-driven environment undermines the necessary behavioral discipline. Therefore, the strategic mandate for educational institutions is two-fold: (a) to leverage social media as a viable tool for structured financial education, focusing on behavioral finance to bridge the knowledge-to-action gap, and (b) to integrate practical,

actionable financial education into the curriculum that teaches students concrete skills like budget creation and automated saving to counteract the impulse-driven nature of their digital environment (Menberu, 2024).

This study concludes that social media usage is deeply integrated into the daily lives of young adult business students and holds a moderate, yet statistically significant, positive association with personal finance competencies. The respondents possess a foundation of financial knowledge, but this knowledge does not consistently translate into sound financial behavior, as evidenced by difficulties in budget adherence and resisting impulse purchases. The correlation confirms social media has the potential to be leveraged for financial education, provided the focus shifts from mere knowledge transfer to instilling practical discipline and behavioral control.

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